



DEVELOPMENT BANK OF ETHIOPIA

MSME and Green Economy Programs and Projects Directorate

Project Briefings and Minimum Requirements to Participate

Under

The Support for Recovery of MSMEs in Conflict-Affected Areas Project

For Commercial Banks



July 2026
Addis Ababa, Ethiopia

1. Background

1.1 Project Descriptions

The project "Support for the Recovery of Micro Small and Medium Enterprises (MSMEs) in Post Conflict Areas" is financed by the European Union (EU) and parallel financing from KfW to be implemented in the Afar, Amhara, and Tigray regions.

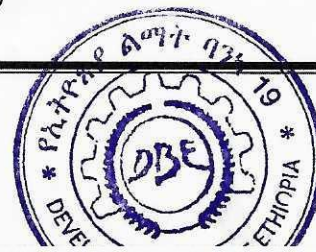
The project aims to support the economic recovery and growth of MSMEs¹ in Tigray, Amhara, and Afar regions by increasing access to finance for MSMEs through Participating Financial Institutions (PFIs). PFIs will channel project funds to MSMEs with at least 30% of the total funding dedicated for women-owned enterprises and a minimum of 20% dedicated for youth-owned enterprises in the target regions. The funding will be accessible for MSMEs for working capital and/or investment loans in sectors relevant to the recovery of the economy defined as manufacturing, construction, trade, agro-processing, and services aiming to boost the economy in the targeted regions.

The Development Bank of Ethiopia (DBE) is the Project Executing Agency and responsible for the implementation of the project. In line with the signed on-lending agreement with the Ministry of Finance, DBE will on-lend the fund to the selected PFIs which will channel the fund to the target group. The financing of the loans to the target group is accompanied by the Expert Services which includes Technical Assistance (TA) for DBE and selected PFIs. This project is a comprehensive initiative to revitalize the MSME sector in the post-conflict regions in Ethiopia (i.e, Afar, Amhara, and Tigray).

1.2 The Project Objectives

The overall objective of the project is to restore the local economy and strengthen the resilience of Micro, Small and Medium Enterprises (MSME) and improve the conditions for inclusive and sustainable economic growth with a focus on post-conflict recovery of the targeted group in the target regions (Afar, Amhara and Tigray).

¹ (1) **Micro** — up to 10 employees or total asset of up to ETB 600,000 (2) **Small** — 11 to 50 employees or a total asset of ETB 600,001 - ETB10,000,000 and (3) **Medium** — 51 to 100 employees or a total asset of ETB 10,000,001 - ETB 90,000,000



2. 2nd Round Call for Expression of Interest (EoI)

As a Project Executing Agency, DBE is responsible to select potential financial institutions (Banks and Microfinance institutions) that have interest to participate in the project credit line, have a proven experience in MSME financing and presence of Operating branch/es in the project target areas/regions. Accordingly, our Bank has selected seven financial institutions as participating financial institutions (PFIs) in the first round. On the other hand, inclusion of additional PFIs is deemed necessary to enhance the project implementation and fund utilization.

Hence, DBE invites eligible and interested Private Commercial Banks and Microfinance Institutions (MFIs) operating in Amhara, Tigray, and Afar regions, so that to conduct a second round due diligence by the international consultant and select additional PFIs to participate under Support for the Recovery of MSMEs in Post Conflict Areas Project credit line.

3. Basic and Minimum Required Documents

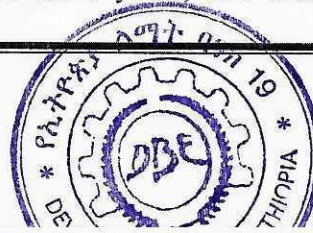
Interested financial institutions (FIs) are required application documents, eligibility and qualification criteria, as well as submission details as outlined below.

3.1. Required Documents

- i. A cover letter expressing interest to participate and confirmation to on-lend up to a maximum rate of 11% for the fund which will be received from our Bank (DBE) with a rate of 4.5% per annum;
- ii. Profile of the institution, highlighting ownership, governance, and operational structure;
 - Summary of experience in MSME financing (including loan portfolio composition, products, and outstanding balances);
 - Branch network list indicating offices located in Amhara, Tigray, and Afar regions.
 - Work plan and annual projections - # MSMEs, Volume of disbursement by region
- iii. Copy of business license and NBE operating permit;
- iv. Copy of Tax Identification Number (TIN);
- v. Copy of external audit report for the last three preceding operational years;
- vi. Copy of an Article and Memorandum of Association;
- vii. Copy of recent four operational and financial quarterly reports submitted to NBE

3.2. Basic Eligibility and Selection Criteria

- i. Operational presence through a branch office in at least one of the target regions (Amhara, Tigray, or Afar) is mandatory. Failure to meet this eligibility requirement will result an automatic rejection.
- ii. Legally established and licensed by the National Bank of Ethiopia to operate as a commercial bank and stay in operation at least for three years, and must have been



- profitable for the recent and at least two of the last three years of audited financial statements. Failure to meet this eligibility requirement will result an automatic rejection;
- iii. Adequacy and feasibility of the work plan and credit line utilization projection;
 - iv. Demonstrated experience in MSME or SME financing (preferably with tailored loan products).
 - v. Commitment to participate in project-related training, reporting, and monitoring arrangements as required by DBE and the project's operational guidelines.
 - vi. Willingness and commitment to extend preferential lending terms and conditions for MSMEs operating in post conflict regions following DBE's guidance and support,
 - vii. Proven financial soundness and operational stability.
 - viii. The FI's capital adequacy ratio must not be less than prescribed by the NBE prudential regulations. This is currently 12% for MFIs and 8% for Banks of risk weighted assets.
 - ix. Operational self-sufficiency: The operational self-sufficiency of the FI must be equal or greater than 100% for the assessment period (i.e., based on quarterly reports submitted to NBE).
 - x. The FI must have adequate liquidity (e.g., shall maintain at all times liquidity ratio as defined by NBE of at least 20% for MFIs and 15% for Banks,).
 - xi. Portfolio at Risk: PAR >90 days should not exceed 10% of loans outstanding of the FIs (exceptional increase from 5% to 10%).
 - xii. The FI must have adequate management information systems.
 - xiii. Adequate credit risk management and internal control systems.
 - xiv. The FI must have environmental and social (E&S) policy, E&S procedures/standards such as ESMS for identifying and managing E&S risks.
 - xv. Special consideration of conflict affected FIs/further relaxation of criteria (if necessary) could be made based on NBE's consent and No-Objection from KfW.
 - xvi. Credibility and neatness of the document has its own value for the pre-selection assessment.

4. Submission Details

The Expression of Interest (EOI) together with the supporting documents should be delivered

To: Development Bank of Ethiopia (DBE)

Attn: MSME and Green Economy Programs and Projects Directorate

Addis Ababa, Ethiopia

EOIs shall be submitted no later than August 05, 2026, till 5:00 p.m. (11:00 local time).

- Only shortlisted institutions will be invited to proceed with further appraisal, fund allocation and agreement signing procedures.

Your Bank's participation in this initiative is highly valued, as it contributes to the broader national effort of restoring livelihoods and strengthening private sector resilience in post-conflict areas, especially through your good Bank's inclusive financing products.

5. Contact Information

For further clarification, please contact:

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